ABC News markets blog · 9 Nov 2026
HSC Economics news explainer · 10 November 2026

ANZ makes $7.3b profit and will stop financing new oil and gas

> ANZ's full-year result beat expectations, but its shares fell. In its annual report the bank said it will **no longer finance new or upstream oil and gas projects**, including LNG plants.

WHAT HAPPENED

- ANZ posted a **$7.3 billion** full-year profit, which beat market expectations.
- Its shares still fell, closing down **3.2%** (and down as much as 4.3% to $38.59 during the day) as other bank shares also fell.
- UBS said lower expenses largely offset weaker revenue, with lighter credit charges despite an increase of about **$800 million** in non-performing loans.
- On page 111 of its annual report, ANZ said it is pulling out of financing **new or upstream oil and gas expansions**, including LNG plants.
- It also won't finance coal-fired power, and expects its existing loans to coal power to run off by **September 2030**. Environment groups welcomed the move.

$7.3b
ANZ full-year profit

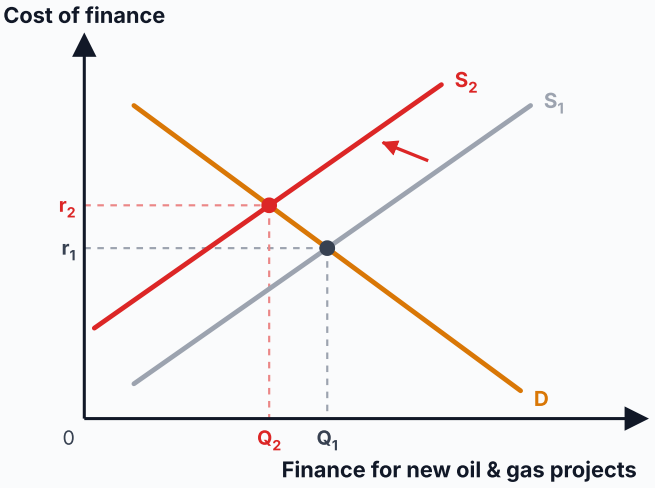
−3.2%
ANZ share price at Monday's close

2030
year ANZ's coal-power loans are expected to run off

Negative externality: a cost imposed on third parties (such as pollution) that isn't reflected in the market price

Cost of capital: what firms must pay to borrow or raise funds for investment

DIAGRAM Less bank finance raises the cost of new fossil fuel projects



When major banks withdraw lending, the supply of finance for new oil and gas projects shifts from S_1 to S_2.

The cost of finance rises from r_1 to r_2 and the amount of finance used falls from Q_1 to Q_2, so fewer projects go ahead.

Exam angle: this is a conceptual diagram. Other lenders may fill the gap, so one bank's decision may have a limited effect on its own.

FLOW CHART How private finance decisions can affect the environment

Banks stop lending to new oil and gas → Supply of finance falls → Cost of capital rises → Fewer new projects → **Lower future emissions**

SYLLABUS LINK

Topic 3: environmental sustainability, including private-sector responses to climate change. **Topic 4:** limits of government environmental policy.

TRY THIS (6 MARKS)

To what extent can private-sector decisions, such as banks refusing to finance new fossil fuel projects, help achieve environmental sustainability?

Read more: ABC News markets blog, 9 Nov

Diagrams are illustrative, not to scale